COURSE

Leaving Certificate Business (current syllabus)

Marketing mix: promotion

Unit 5: Business in action · 5.2 The marketing mix: promotion

Revision for Unit 5: Business in action: each firm works it out on its own deals, in euros.

Class **Leaving Certificate Business** Topic **Marketing mix: promotion**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Ad return as %**	TASK 2 **Judge the campaign**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Return on spend**	TASK 4 **Enquiries to profit**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Answer a price cut**	TASK 6 **Best advert return**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Was the advert worth it?

Profit from the advert, as % of its cost?

WORK OUT THE NUMBER · EXAMPLE FIGURES

The advert costs	**€3,500**
Extra sales from it	**7 cars**
Margin per car	**€1,225**

METHOD

Return % = (extra sales × margin − advert cost) ÷ advert cost × 100

(7 × €1,225 − €3,500) ÷ €3,500 = 145%

Why: Every €1 spent on the advert brought back €2.45.

Task 2

ROUND 1

You must judge an online advert campaign.

Which two measures show its value best?

PICK TWO

- ✔ **Cost per sale**
- ○ How many people saw it
- ○ Number of clicks
- ○ Number of likes
- ✔ **Profit from the sales it brought**

Why: Value is in sales and profit; clicks and views do not pay the bills.

Task 3

ROUND 2

Three campaigns: what each cost, and the contribution it brought.

Order by return on spend, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **€500 spent, brings €1,000**
2. **€1,000 spent, brings €1,600**
3. **€2,500 spent, brings €3,500**

Why: Return: 100%, 60%, 40%. The biggest profit in euros has the lowest return.

Task 4

ROUND 2

Enquiries from an advert.

Profit from the advert?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

The advert costs	**€3,475**
Enquiries it brings	**30 plain**
Conversion rate	**20%**
Margin per car	**€1,830**

METHOD

Profit = enquiries × conversion rate × margin − advert cost

20% × 30 = 6; 6 × €1,830 − €3,475 = €7,505

Why: A 20% conversion turns 30 enquiries into 6 sales.

Task 5

ROUND 3

Your firm is known for the best service in town. A rival cuts its prices by 10%.

How should you respond, and why?

PICK A OR B AND GIVE A REASON

- ○ Match the 10% price cut
- ✔ **Promote your service, keep prices**

Why: A price war cuts every margin; promoting what makes you different keeps loyal buyers.

Task 6

ROUND 3

Which pays back more?

Higher of the two: profit as % of cost?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Radio advert, 70 enquiries	**€4,500**
Social advert, 40 enquiries	**€4,500**
Conversion rate	**10%**
Margin per car	**€2,025**

METHOD

Each advert: (cars sold × margin − cost) ÷ cost × 100; take the higher

Radio 215%, social 80%

Why: Compare return on spend, not just profit.

Final questions

6	50	10
questions for each pupil	questions in the Irish set	of them on marketing mix: promotion

The game draws 6 questions from the lesson topic "Promotion and campaigns"; these 10 are about marketing mix: promotion.

1 Paid search costs €2,500 and adds 20% to your next 2 sales, up to €2,000 each. A customer pays €9,000. What does the campaign add to that sale?

€1,800

2 Paid search adds 20% to the next 2 sales, up to €2,000 each. Your two sales are €12,000 and €7,000. What is the total bonus?

€3,400

3 Social video costs €2,000 and adds 15% to the next 2 sales, up to €1,500 each. Your sales are €8,000 and €6,000. Did the campaign pay for itself?

Yes: bonuses of €1,200 and €900 make €2,100, €100 more than the cost.

4 You book Local radio (+15% on the next 3 sales) but sell nothing this round. What does your firm get from the campaign?

Nothing: the bonus is paid on sales, and the cost is already spent.

5 Which statement about the three campaigns is right?

A campaign raises what your next sales pay, up to a cap per sale; it does not bring extra customers by itself.

6 You expect two sales of about €5,000 each this round. Paid search: €2,500, +20% on 2 sales, cap €2,000. Social video: €2,000, +15% on 2 sales, cap €1,500. Which leaves more after its cost?

Neither pays: Paid search earns €2,000 for €2,500, Social video €1,500 for €2,000.

7 Your campaign's two bonus sales are used up and the round has five minutes left. What should the Sales & Marketing Director do about marketing?

Nothing more this round: a second campaign is a new cost, and only one runs a round.

Final questions

8 Local radio cost €3,000 and added €600, €450 and €750 to three sales. What did the campaign do to the firm's profit?

It lowered profit by €1,200: €1,800 earned against €3,000 spent.

9 Paid search costs €2,500 and adds 20% to two sales. Roughly what must the two sales add up to for the campaign to break even?

€12,500

10 Local radio costs €3,000, +15% on the next 3 sales, cap €1,500 each. Your sales are €11,000, €9,000 and €4,000. What is the bonus, and the profit on the campaign?

Bonus €3,450; profit €450